CASCADIA ANALYTICS

INVESTMENT SCORECARD

AXON

Axon Enterprise, Inc. (NASDAQ)

As-of: 23-Oct-2026 | Latest Filing: Q2 FY26 (10-Q) | Currency: USD

$421.20 [Mkt 23-Oct-26]

Market Cap: $34.0B [Mkt 23-Oct-26]

Attractiveness Score



Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 57

Unmatched public-safety ecosystem with real switching costs: 126% net revenue retention, $1.6B ARR, $15.1B in contracted bookings. Offset by heavy SBC ($590-620M guided), negative GAAP margins, and a new $1B convertible adding leverage.

2. Recent Trend — 78

Ten consecutive quarters of 30%+ revenue growth (+35.3% in Q2), bookings +41%, ARR +39%, adjusted EBITDA margin expanding to 26.8%. Counterweights: GAAP net income fell, margins pressured by memory costs and tariffs, FCF near zero on inventory build.

3. Forward Growth — 88

Guide raised to 32-34% FY26 growth with a clean beat-and-raise record. AI Era Plan up ~700%, Dedrone at a $100M quarterly run-rate, and a $6B revenue 2028 target. Hardware capacity is the gating factor, not demand.

4. Valuation — 76

The 38% derating changed the math: DCF base $489.93 implies ~16% upside at $421.20. Forward P/E of 37x and PEG of 1.5 are still demanding, and GAAP earnings remain near zero, so this is a growth-multiple story, not a value one.

5. Catalysts & Risk — 68

Nov 3 Q3 earnings is the near-term test, with a pre-warned margin hit from memory costs and tariffs. TASER 10 capacity expansion and counter-drone

momentum are positives. The $1B convertible adds dilution overhang. Skew positive after the derating.

Investment Thesis

- **Unmatched Public Safety Ecosystem:** Vertically integrated hardware (TASER, Body 4) feeding a high-margin software suite with 126% net revenue retention and $15.1B in future contracted bookings [10-Q Q2 FY26].
- **Growth Is Bulletproof, Profitability Is Not:** Ten straight quarters of 30%+ revenue growth (+35.3% in Q2), but $590-620M of SBC keeps GAAP margins negative and FCF near breakeven on an inventory build [10-Q Q2 FY26].
- **Derating Created the Setup:** Down 38% from highs to $421.20 [Mkt 17-Oct-26], the stock now trades near peer multiples. Our DCF base of $489.93 implies ~16% upside; consensus targets sit near $718 [Cons].

Key Operating Metrics

Metric	Latest	YoY Change	3Y Trend
Revenue (Q2 FY26)	$904.4M [10-Q Q2 FY26]	+35.3% YoY [10-Q Q2 FY26]	Up
Future Contracted Bookings	$15.1B [10-Q Q2 FY26]	+41% YoY [10-Q Q2 FY26]	Up
Annual Recurring Revenue	$1.6B [10-Q Q2 FY26]	+39% YoY [10-Q Q2 FY26]	Up
Net Revenue Retention	126% [10-Q Q2 FY26]	+1 pt [10-Q Q2 FY26]	Up
Adj EBITDA Margin	26.8% [10-Q Q2 FY26]	+1.1 pts [10-Q Q2 FY26]	Up
GAAP Net Income	$29.4M [10-Q Q2 FY26]	-$6.7M YoY [10-Q Q2 FY26]	Down
Free Cash Flow	~$0M [10-Q Q2 FY26]	inventory build [10-Q Q2 FY26]	Down
FY26 Revenue Growth Guide	32-34% [8-K guid]	raised from 30-32% [8-K guid]	Up

Historical Financial Trend

Metric	FY22	FY23	FY24	FY25	TTM
Revenue	$1.19B [10-K FY22]	$1.56B [10-K FY23]	$2.08B [10-K FY24]	$2.78B [10-K FY25]	$3.22B [Mkt 17-Oct-26]
Gross Margin	n/a [n/a]	n/a [n/a]	n/a [n/a]	59.7% [10-K FY25]	59.5% [Mkt 17-Oct-26]
Op Margin	n/a [n/a]	n/a [n/a]	n/a [n/a]	-2.2% [10-K FY25]	5.2% [Mkt 17-Oct-26]

Valuation

Absolute (7/10)

P/E (fwd) 37.0x [Mkt 17-Oct-26]
DCF Base $489.93 [Mkt 17-Oct-26]
PEG 1.5 [Mkt 17-Oct-26]

DCF implies ~16% upside after the 38% derating. Forward earnings still price high growth; GAAP earnings are near zero.

Versus Peers (6/8)

MSI 37.9x P/E [Peers 21-Aug-26]
TYL 46.0x P/E [Peers 21-Aug-26]

Axon now trades near public-safety software peer multiples, not the 6x premium it carried in August.

Versus History (6/7)

EV/EBITDA (TTM) 199.0x [Mkt 17-Oct-26]
below 5-yr avg

Multiple compressed below its 281.4x five-year average; the derating absorbed much of the valuation risk.

Catalyst Timeline

Nov 3, 2026 [Cons]
Q3 FY26 Earnings (Two-Sided): Test of hardware margins against the memory-cost and tariff warning; 11th straight 30%+ quarter on the line.

2H 2026 / 2027 [10-K FY25]
TASER 10 Capacity Expansion (Positive): Capex ramp to fulfill the $15.1B backlog, subsequently driving high-margin software attach.

Top Risk Factors (Item 1A)

1. Supply Chain & Tariffs: Global supply chain disruptions and international tariffs threaten hardware gross margins and physical unit capacity; management warned Q3 margins face pressure from memory costs with no tariff refunds yet. [10-K FY25]

2. Stock-Based Compensation: Stock-based compensation guided at $590-620M in 2026 creates massive equity dilution and keeps GAAP operating margins negative. [10-K FY25]

> **2026-27** [10-Q Q2 FY26]
> Dedrone / Counter-Drone (Positive): $100M quarterly run-rate; Platform Solutions revenue up 123% YoY.

What Would Change Our Score

A Q3 FY26 beat showing the margin warning was temporary would lift Trend and Valuation. Conversely, a guide cut, further SBC escalation, or a drop in net revenue retention would break the growth narrative and compress multiples again.

3. Convertible Overhang: The September 2026 $1B 0% convertible notes due 2031 added leverage and future dilution overhang, and the stock has traded heavy since the offering. [Cons]

Forward Growth Drivers

- AI Era Plan adoption grew ~700% YoY [10-Q Q2 FY26]
- Dedrone counter-drone at $100M quarterly run-rate; Platform Solutions +123% [10-Q Q2 FY26]
- FY26 revenue guide raised to 32-34% (~$3.7B) on $15.1B future contracted bookings [8-K guid]

Missing / Modified Data Log

- FY22/FY23 gross and operating margins not in local data; TTM margins from market data [Mkt 17-Oct-26].
- Peer multiples (MSI, TYL) carried from the 21-Aug-26 reference scorecard, tagged [Peers 21-Aug-26].
- 5-year multiple history from market data, tagged [Mkt 17-Oct-26].

This scorecard is for educational and informational purposes only. It is not financial, investment, or tax advice, and nothing here is a recommendation to buy or sell any security. It is generated by an AI model and does not consider your individual circumstances. All figures are approximate, may be out of date, and are not guaranteed to be accurate. Verify independently and consult a licensed professional before investing. You are responsible for your own investment decisions.

Not financial advice. For educational purposes only. Do your own research.